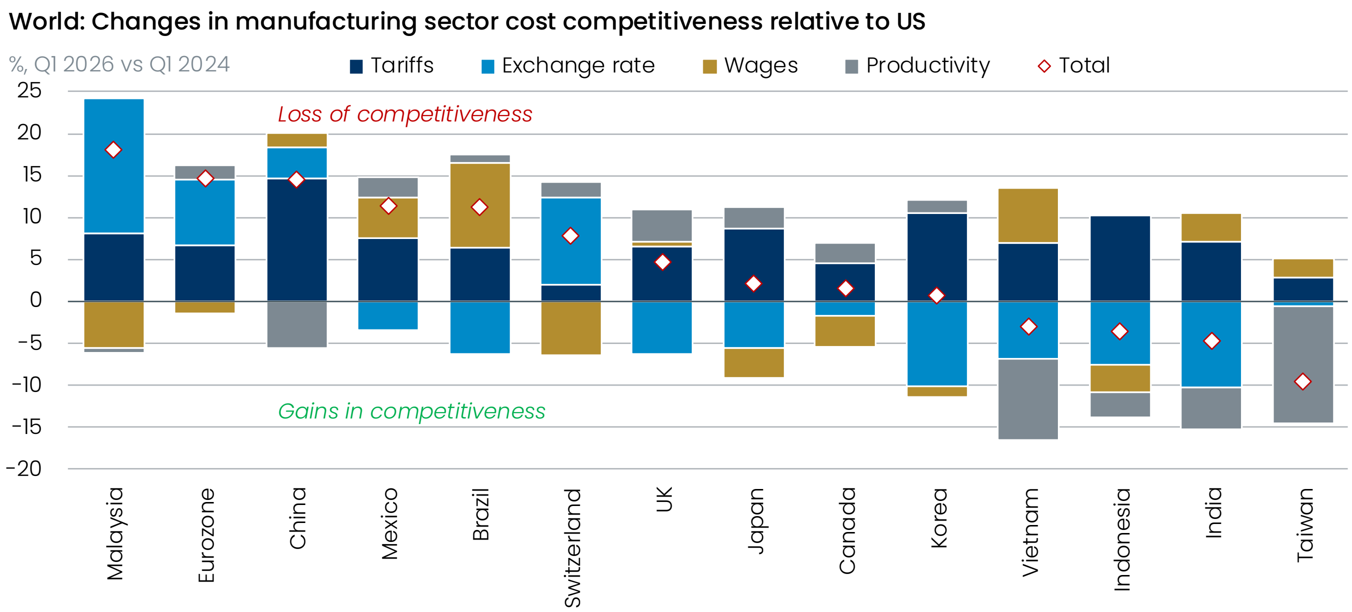
OXFORD ECONOMICS

For exporters to the US, tariffs are just a part of the problem

- **Eurozone goods exporters to the US have seen their competitiveness eroded, whereas other major trading partners have seen large gains. We expect the changes in competitiveness, which broadly match changes in US import shares, to persist, presenting a structural headwind for Eurozone growth.**
- **A stronger euro has been a more significant driver of the Eurozone's loss of competitiveness than higher tariffs. This contrasts with other major economies whose effective US tariffs also rose, but whose exchange rates have tended to depreciate. Weak productivity growth is also a problem for the Eurozone.**
- **Competitiveness varies across Eurozone members, largely due to different export mixes and wage-productivity growth dynamics. We expect the largest erosion of competitiveness in Germany; the smallest in France. Outside the Eurozone, Poland, Hungary, Sweden, and Norway have suffered large losses of competitiveness due to a mix of currency appreciation and strong wage growth relative to productivity.**
- **Changes in US trade policy compound the loss of European competitiveness, with the EU's policy toolkit ill-equipped to respond. Given the institutional constraints and the difficulty of raising productivity, we expect the EU to increasingly turn inwards behind a protective wall, rather than engage in a race to the bottom.**

The rise in US effective tariff rates on its trading partners is just one factor affecting their competitiveness. Based on our calculations, which also include changes in exchange rates and wage and productivity growth relative to the US, the Eurozone has suffered the largest erosion of competitiveness among the major economies. The stronger euro has been a more important driver than higher tariffs, according to our analysis, whereas for Asian economies and the UK, a weaker domestic currency has tended to offset the rise in effective tariffs (Chart 1).

Chart 1: The competitiveness of Eurozone exporters in the US has been significantly eroded



Sources: Oxford Economics, Haver Analytics

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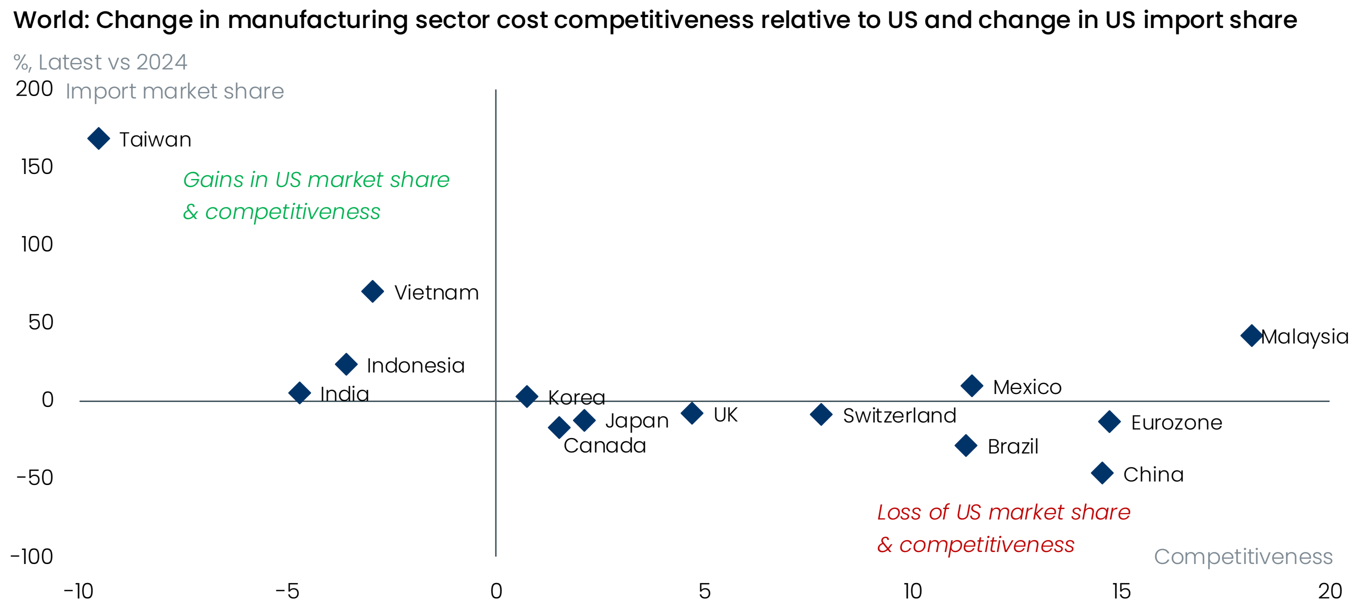
The changes in economies' competitiveness in the US broadly match changes in US import shares (Chart 2). Since early 2024, the Eurozone's US import share has shrunk by 2.1ppts to 14.2% (or by -13%). Other countries that have seen large falls in their US import shares include China (-46%), Brazil (-29%), and Canada (-17%). All of these have also seen a significant erosion of their competitiveness in the US.

Taiwan and South Korea have recently posted record current account surpluses, amounting to almost 30% and 10% of their GDP, respectively, even as their currencies have fallen to near or all-time lows against the US dollar. This hints at covert interventions in foreign exchange markets to support their external competitiveness, which is hard to imagine within the Eurozone institutional set-up. Moreover, both Taiwan and South Korea are major exporters of AI-related equipment, for which price elasticity of demand is likely relatively small, given the strong AI-investment boom in the US. Hence, there are strong structural tailwinds behind their rising US import share, amplified by policy support.

Among other major economies, Mexico and Malaysia are outliers, having seen their competitiveness eroded while their US import share has risen. We think that this is due to their unique positions in re-routing trade from China, participating in the AI boom and, in the case of Mexico, tight integration with the US economy. Together with strong starting points for cost competitiveness, these are more powerful drivers than relatively short-term shifts in exchange rates from an all-time low (Malaysia) or faster growth in wages (Mexico).

Chart 2: The Eurozone has lost competitiveness and US import share

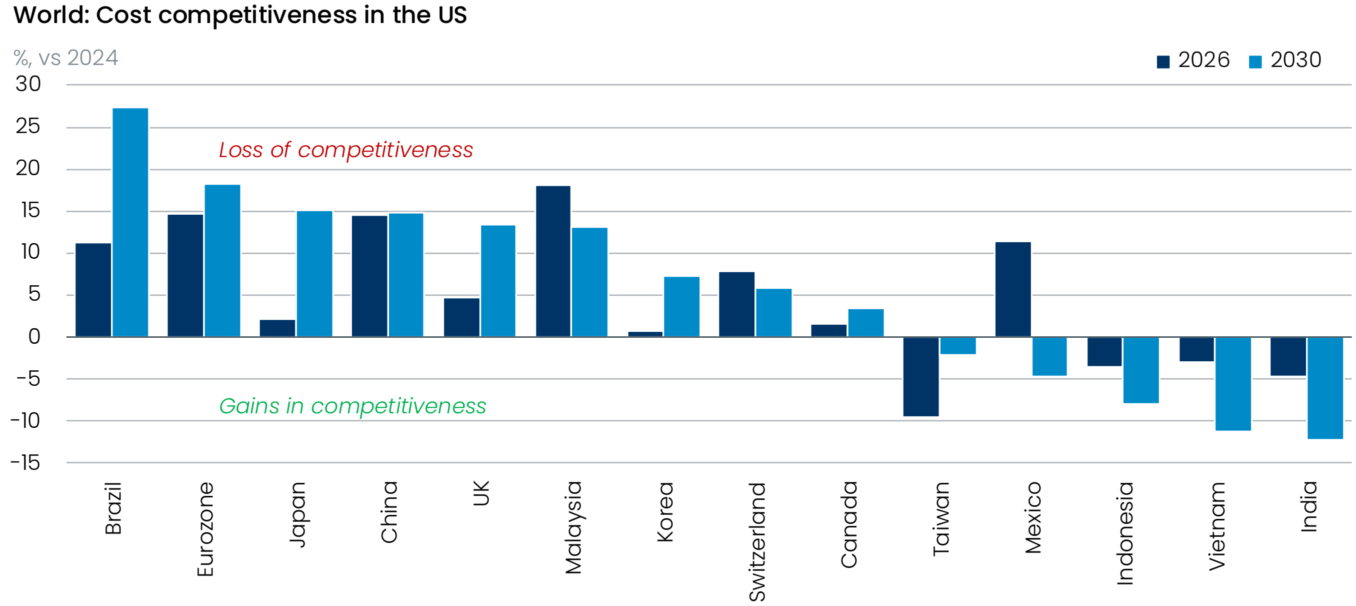


Sources: Oxford Economics, Haver Analytics

Looking ahead, we expect the Eurozone's loss of competitiveness in the US to continue to be among the largest (Chart 3). This is because we expect the euro gains to be maintained, with EUR/USD stabilizing at a level almost 10% higher compared to early 2024. We also expect the effective tariff to stay 8ppts higher than before President Trump's second term. The Eurozone's weaker productivity growth will largely be offset by lower wage growth.

We expect Asian economies to hold onto their competitiveness gains, with the largest winners being India, Vietnam, and Indonesia. For India, we expect productivity growth to outpace wage growth, with the exchange rate providing the main boost. This is also the case for Vietnam, where productivity growth is likely to be much faster than wage growth and the exchange rate to be roughly twice as weak as the rise in the effective tariff rate. South Korea is set to lose competitiveness due to an appreciating exchange rate and slower productivity growth relative to the US.

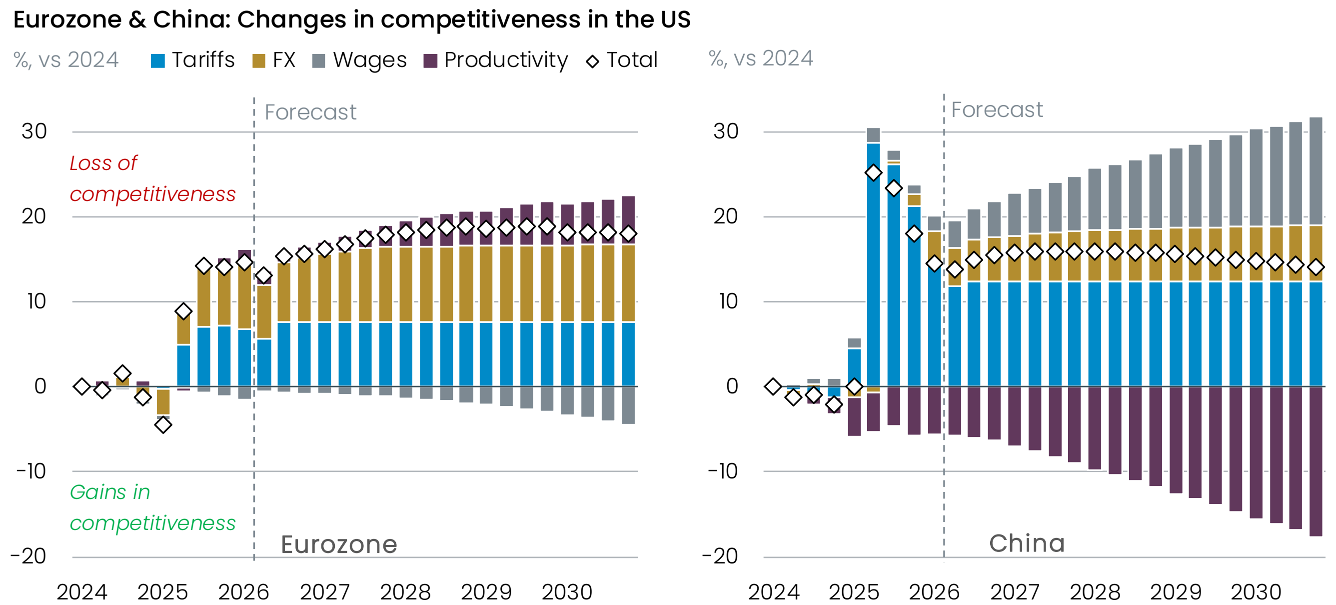
Chart 3: Brazil and the Eurozone face the largest erosion of their competitiveness in the US



Sources: Oxford Economics, Haver Analytics

We anticipate Brazil experiencing an even larger deterioration of competitiveness than the Eurozone, although tariffs and the exchange rate there are relatively minor drivers and mutually offsetting. The largest drivers in the case of Brazil are a combination of strong wage but poor productivity growth. In China, we expect strong productivity growth to be largely offset by a gently appreciating currency and faster wage growth. The key driver behind the deterioration of its competitiveness is expected to be higher effective tariffs. We expect China's loss of overall competitiveness in the US to remain notably smaller than in the Eurozone (Chart 4).

Chart 4: Unlike in the Eurozone, China's productivity growth will offset other drivers of lower competitiveness

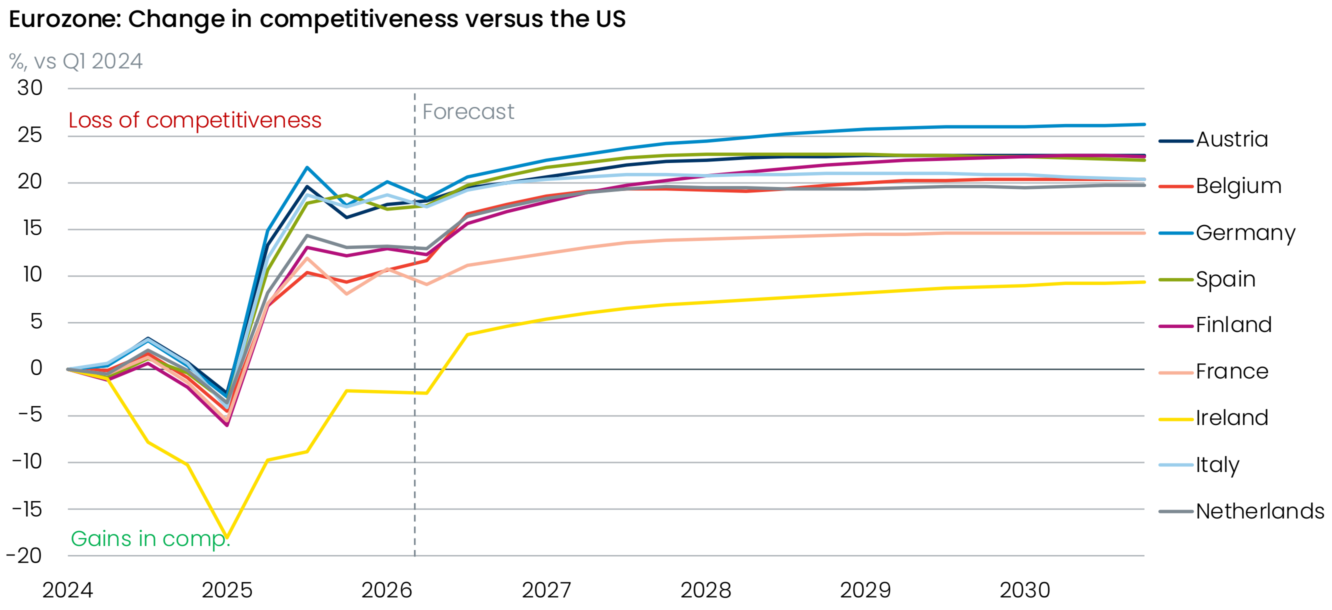


Sources: Oxford Economics, Haver Analytics

Large differences among European economies

We expect all Eurozone economies to lose competitiveness in the US, but the magnitude differs due to their different export mix and wage-productivity growth differentials (Chart 5). Among the largest economies, we see Germany performing the worst, with competitiveness losses of over 25%, and France performing the best, with losses of less than 15%. The key difference is much slower wage growth in France (roughly 10% lower on a cumulative basis versus the US by 2030) and a lower effective tariff rate (7% versus 10% for Germany). Relative productivity growth is expected to be a drag of a similar magnitude for both. However, even France's relatively smaller loss of competitiveness in the Eurozone is larger than for most other major global economies.

Chart 5: The magnitude of losses of competitiveness varies among Eurozone countries

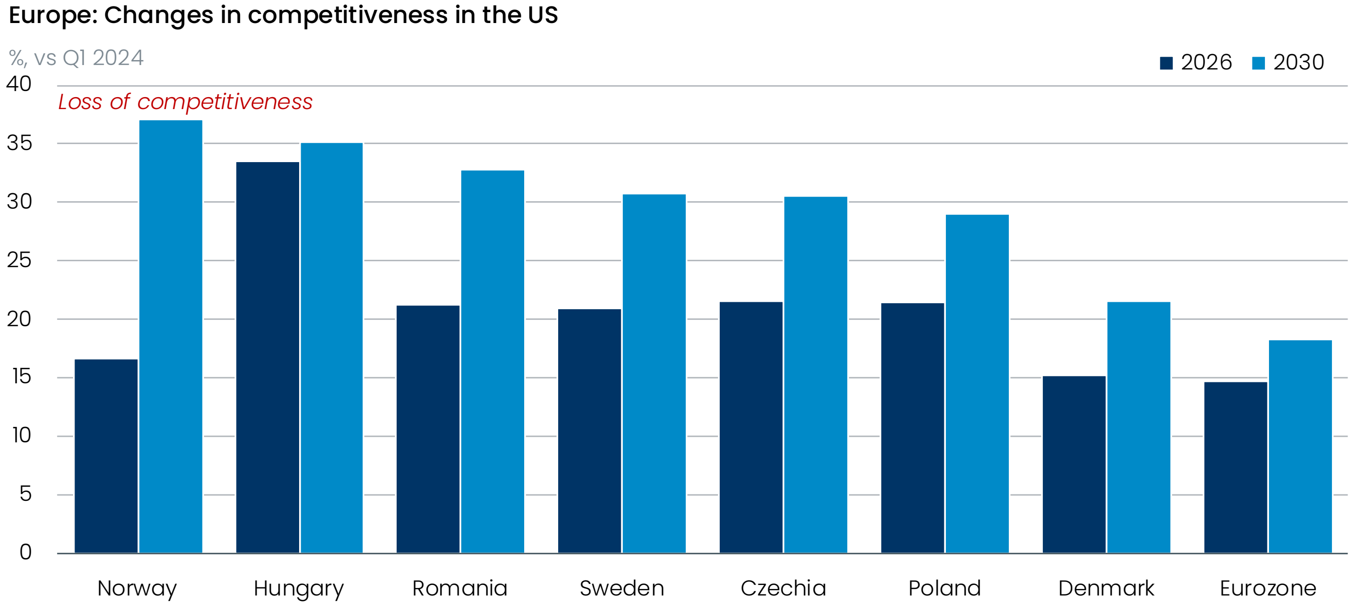


Sources: Oxford Economics, Haver Analytics

Across the EU, we anticipate the largest deterioration in competitiveness will be among non-euro economies such as Hungary, Poland, Sweden and Norway (Chart 6). In the former two, this is largely driven by wage growth that is much higher than in the US, and only partially offset by faster productivity growth. In Sweden and Norway, and to a large extent also in Poland, the main driver is a large, currency appreciation expected against the euro, compounded by the euro's expected appreciation against the US dollar. The significant currency appreciation, together with fast wage growth and modest productivity growth presents a key risk for the export competitiveness of these economies – not just in the US, but globally.

A potential shortcoming of our approach is that we use economy-wide productivity and wage growth, not just that of the manufacturing sector, where dynamics in Europe have been more favourable relative to the US (the US tech sector is a key driver of the country's superior productivity performance). In some European countries, wage growth has been more subdued in the manufacturing sector than in services, pointing to a potential shortcoming of using economy-wide wage growth that is comparable across countries. However, these cross-sector wage differences are bound to disappear over the medium term.

Chart 6: Non-Euro EU economies face an even larger loss of competitiveness than the Eurozone

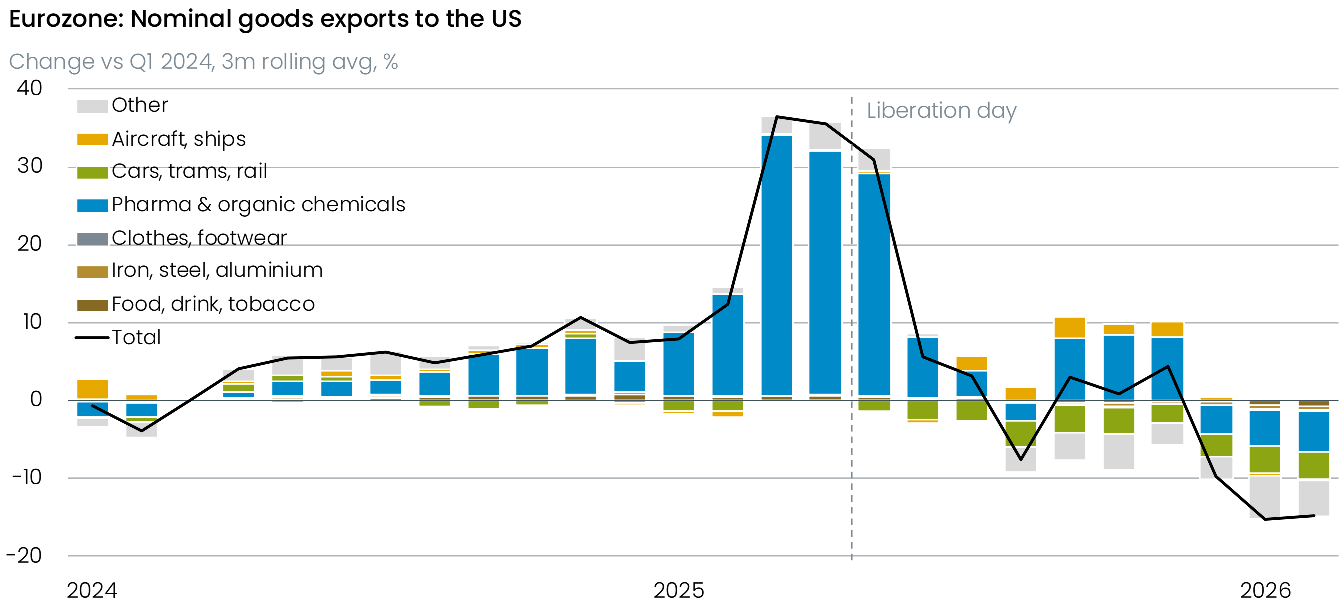


Sources: Oxford Economics, Haver Analytics

EU policy challenge

The significant erosion of the Eurozone's competitiveness in the US is visible in trade data, especially a broad-based double-digit decline in nominal exports to the US (Chart 7). Some of this reflects the unwinding of tariff front-running that boosted pharma exports last year. But even excluding pharma, exports are seeing double digit drops. This presents another headwind for Eurozone growth, given that in the post-pandemic years, the US has been the main growth market for Eurozone exporters, offsetting the declining exports to China. This declining export competitiveness of the Eurozone in its traditional key export markets presents a policy challenge.

Chart 7: Eurozone goods exports to the US have collapsed as the boost from tariff front-running fades



Sources: Oxford Economics, Haver Analytics

Of the factors impacting Eurozone's competitiveness in the US, the EU's policymakers can do very little about many. Effective tariffs are a decision for the US government. Interventions in foreign exchange markets to weaken the euro while inflation is above target would jeopardize the ECB's price stability mandate (and be highly contentious otherwise, too). Wages are already expected to grow slower than in the US and supressing them further would not be a popular policy, especially at the tail-end of a large (and potentially a new) cost of living crisis.

That leaves boosting productivity growth as the primary lever for EU policymakers to improve exporters' external competitiveness. However, this is much easier said than done, with high-profile policy papers written on this subject in recent years (including the Draghi and Letta reports) but little in the way of implementation so far.

More broadly, the relative loss of Eurozone competitiveness also reflects changes in US trade policy and policy interventions elsewhere where economies with open capital accounts, such as the Eurozone, act as global balancers. For instance, the Chinese renminbi is significantly undervalued due to official and covert interventions, while the recent weakness of the currencies of several smaller East Asian export champions also defies basic economic principles. Their weak currencies improve the external competitiveness of their exporters at the cost of suppressing domestic living standards (and hence imports from the likes of the EU).

This is why we see an increased push in the EU at soft financial repression through initiatives likes the Savings and Investment Union and the increased deployment of protective trade measures, particularly against China. Ultimately, the effect of these measures will be to turn the EU economy more inward behind a protective wall.